

Chapter 4

MCQs

Question 1

Why is saving early important for teens?

- ☐ A) It helps buy expensive gadgets immediately.
- ☐ B) It gives more time for money to grow and builds financial discipline.
- ☐ C) It guarantees a high-paying job in the future.
- ☐ D) It prevents the need for a bank account. Correct Answer: B) It gives more time for money to grow and builds financial discipline.

Note: No correct answer specified for this question

Question 2

What is compound interest?

- ☐ A) Interest earned only on the initial amount saved.
- ☐ B) A fee charged by banks for saving money.
- ☐ C) Interest earned on the initial amount and on the interest already earned.
- ☐ D) A type of loan for teens. Correct Answer: C) Interest earned on the initial amount and on the interest already earned.

Note: No correct answer specified for this question

Question 3

Which savings option is best for a teen wanting easy access to their money for short-term needs?

A) Fixed Deposit (FD)

B) Recurring Deposit (RD)

C) Minor Savings Account in a Bank

D) Long-term Government Bond
Correct Answer: C) Minor Savings Account in a Bank

Note: No correct answer specified for this question

Question 4

What is a key benefit of a Post Office Savings Account for teens?

A) It offers the highest interest rates compared to banks.

B) It is government-backed, safe, and accessible in many areas.

C) It allows unlimited withdrawals without any fees.

D) It provides a credit card for teens.
Correct Answer: B) It is government-backed, safe, and accessible in many areas.

Note: No correct answer specified for this question

Question 5

What is the first step in saving for a big goal like higher education or a vehicle?

A) Withdraw money from a savings account.

B) Define the goal by specifying the amount needed and timeline.

C) Spend extra money on wants to stay motivated.

D) Open multiple bank accounts for different goals.
Correct Answer: B) Define the goal by specifying the amount needed and timeline.

Note: No correct answer specified for this question

Question 6

How can a teen save for a big goal like a ₹12,000 phone in one year?

- A) Save the entire amount at once in a Fixed Deposit.
 - B) Break it down to save ₹1,000 per month and track progress.
 - C) Borrow the money from a friend and repay later.
 - D) Ignore smaller expenses to save faster.
- Correct Answer: B) Break it down to save ₹1,000 per month and track progress.

Note: No correct answer specified for this question